

A tough call: On the RBI MPC's first policy review of 2025

The rupee's slide **confounds** monetary policymakers' task

The Reserve Bank of India's **Monetary Policy Committee** (MPC) will **conclude** its first policy review of 2025 on Friday (February 7, 2025), in significantly different circumstances from its December 2024 meet. For one, the key **personnel** have changed. The RBI has a new Governor, with former Revenue Secretary Sanjay Malhotra replacing Shaktikanta Das soon after the last review. **Deputy Governor Michael Patra**, an MPC member who was in charge of monetary policy, also **retired** last month. With the Centre yet to name his **successor**, **navigating** this review is going to be a **tad** tricky for the new central bank boss, with another deputy holding additional charge of monetary policy. Second, the rupee is in a **free fall of sorts**. After **hitting** 85 to the U.S. dollar on December 19, 2024, it **slipped** to 86 on January 13, 2025 and crossed 87 on February 3, partly due to the third factor at work. The **strengthening** dollar is **driven** by U.S. President Donald Trump's **overdrive** to 'Make America Great Again' with higher tariffs on major trade partners, and other **disruptive** economic plans such as exiting global tax **accords**, **shutting aid** flows, **et al**.

One thing has not changed — the **clamour** for an interest rate cut from industry and government **honchos**. In December, this noise was **heightened** after a sharp growth **blip** in the July-September quarter when GDP grew just 5.4%. Now, with 2024-25 GDP growth **downgraded** to just 6.4%, and the no marked **uptick** in economic **metrics** in the December-ending quarter, growth worries remain **entrenched**. In the **interim**, there has been some **back and forth** between **North Block** and Mint Street on the factors responsible for **stumbling** economic activity. The Finance Ministry sought to **lay some of the blame for** an urban demand **slump** on tight monetary policy. RBI **officials**, in the central bank's January bulletin, **said** the "**one way**" to **spark** a growth **rebound** and a **virtuous** cycle of fresh private investments, **is** to boost consumption through higher **disposable incomes**, especially for the urban middle class that has been **pinning for** relief from food inflation. With the Budget **delivering on** this **front** with income tax cuts, **the ball is back** in the RBI's **court**. Inflation has been over 5% in the last five months, but may have **eased** closer to the RBI's 4% target in January. But a rate cut could also hurt the rupee further, and **spur** higher imported inflation. It is an **unenviable** situation for the new RBI chief to be in; he might be **tempted to take a cue** from Mr. Das who had surprised markets with a rate cut in the first review under his watch in 2019, reversing his **predecessor's stance**. **[Practice Exer.]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **A tough call** (phrase) – Difficult decision, challenging choice, hard-to-make judgment, critical decision कठिन निर्णय
2. **Confound** (verb) – Confuse, perplex, baffle, puzzle, stump उलझन में डालना
3. **Monetary policy committee** (MPC) (noun) – Central banking committee that decides interest rates and monetary policy मौद्रिक नीति समिति
4. **Conclude** (verb) – Finish, end, finalize, wrap up, complete समाप्त करना
5. **Personnel** (noun) – Staff, workforce, employees, team, human resources कर्मचारी
6. **Successor** (noun) – Heir, replacement, next in line, follower, inheritor उत्तराधिकारी
7. **Navigate** (verb) – Manage, steer, handle, direct, control संभालना
8. **Tad** (noun) – Small amount, little bit, fraction, slight degree थोड़ा
9. **Free fall** (phrase) – Rapid decline, sharp drop, sudden decrease, downfall तेज़ गिरावट
10. **Of sorts** (phrase) – A kind of, somewhat, to some extent, in a way किसी प्रकार का
11. **Hit** (verb) – Reach, touch, attain, strike, impact पहुंचना
12. **Slip** (verb) – Decline, fall, drop, decrease, slide गिरना
13. **Strengthening** (adjective) – Becoming stronger, firming up, reinforcing, solidifying मजबूत होता हुआ
14. **Drive** (verb) – Push, propel, motivate, spur, encourage प्रेरित करना
15. **Overdrive** (noun) – Intense effort, extreme activity, heightened action, aggressive push तीव्र प्रयास
16. **Disruptive** (adjective) – Disturbing, unsettling, chaotic, troublesome, breaking continuity विघटनकारी
17. **Accord** (noun) – Agreement, treaty, settlement, pact, understanding समझौता
18. **Shut** (verb) – Close, block, stop, discontinue, seal off बंद करना
19. **Aid** (noun) – Assistance, support, help, relief, backing सहायता
20. **Et al** (adverb) – And others, and more, including others और भी
21. **Clamour** (noun) – Demand, uproar, protest, outcry, insistence कोलाहल
22. **Honchos** (noun) – Leaders, executives, bosses, chiefs, heads प्रमुख
23. **Heighten** (verb) – Increase, intensify, amplify, raise, boost बढ़ाना

24. **Blip** (noun) – Temporary issue, minor problem, brief interruption, fluctuation
अस्थायी समस्या
25. **Downgrade** (verb) – Lower, reduce, demote, diminish, decrease गिरावट करना
26. **Uptick** (noun) – Small increase, slight rise, improvement, positive movement बढ़ोतरी
27. **Metric** (noun) – Measurement, benchmark, standard, indicator, scale
मापदंड
28. **Entrenched** (adjective) – Deep-rooted, firmly established, ingrained, embedded
गहराई से स्थापित
29. **Interim** (noun) – Temporary period, short-term phase, transition period अंतराल
30. **Back and forth** (phrase) – Repeated discussion, continuous exchange, to and fro movement इधर-उधर की बातचीत
31. **North Block** (noun) – The building that houses India's Ministry of Finance वित्त मंत्रालय भवन
32. **Stumbling** (adjective) – Faltering, struggling, unsteady, uncertain, wavering
लड़खड़ाता हुआ
33. **Lay blame for** (phrase) – Hold responsible, attribute fault, accuse, criticize दोष लगाना
34. **Slump** (noun) – Recession, downturn, drop, decline, economic fall मंदी
35. **Spark** (verb) – Trigger, ignite, cause, initiate, generate उत्तेजित करना
36. **Rebound** (noun) – Recovery, resurgence, revival, comeback, improvement पुनरुद्धार
37. **Virtuous** (adjective) – Beneficial, positive, moral, ethical, righteous फायदे वाला
38. **Disposable income** (noun) – Spendable earnings, available funds, surplus income
खर्च करने योग्य आय
39. **Pin for** (phrasal verb) – Long for, yearn for, crave, desire intensely तरसना
40. **Deliver** (on) (verb) – Fulfill, achieve, accomplish, execute, provide पूरा करना
41. **Front** (noun) – Aspect, area, field, domain, sector क्षेत्र
42. **Ball in someone's court** (phrase) – Someone's turn to act, responsibility now theirs अब जिम्मेदारी उनकी है
43. **Ease** (verb) – Relax, alleviate, reduce, mitigate, make less severe कम करना
44. **Spur** (verb) – Stimulate, encourage, propel, push, boost प्रेरित करना
45. **Unenviable** (adjective) – Difficult, undesirable, challenging, tough, unpleasant कठिन
46. **Tempt** (verb) – Entice, lure, attract, provoke, persuade लुभाना

47. **Take a cue** (phrase) – Follow example, learn from, get inspired, take guidance
प्रेरणा लेना

48. **Predecessor** (noun) – Former holder, previous occupant, antecedent, precursor
पूर्ववर्ती

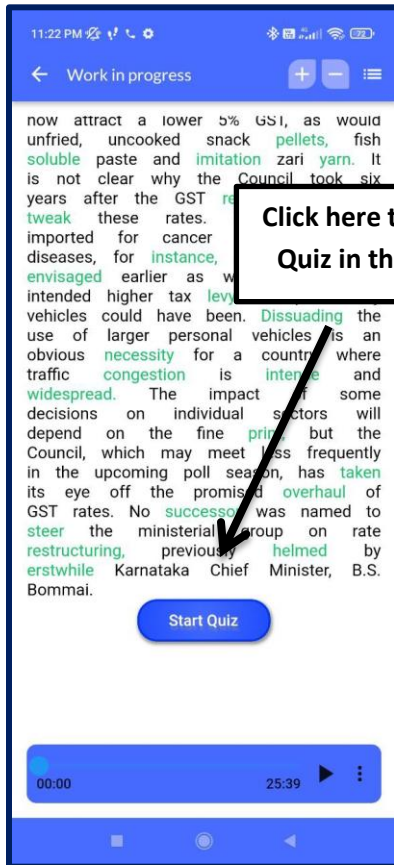
49. **Stance** (noun) – Position, viewpoint, attitude, perspective, approach
रुख

@mocks_wallah

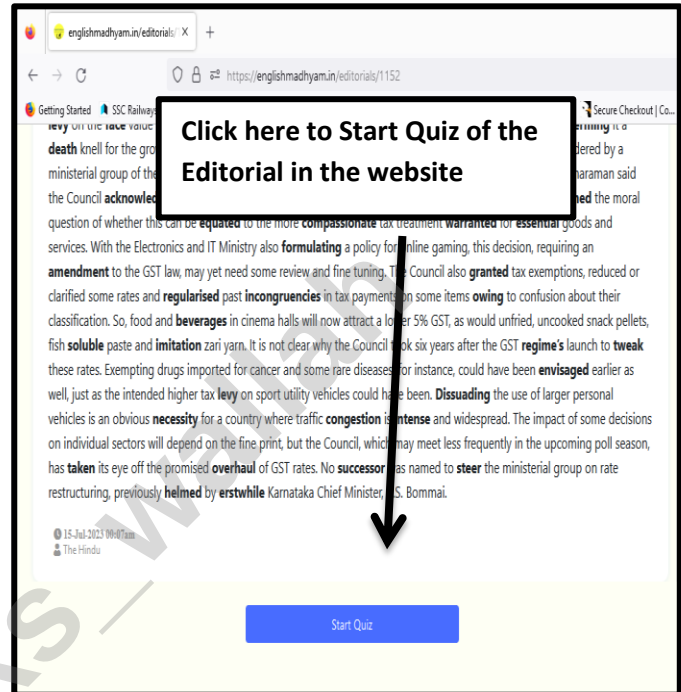
Summary of the Editorial

1. The **RBI's Monetary Policy Committee (MPC)** is set to announce its first policy review of 2025 on **February 7**, under significantly changed circumstances since its last review in December 2024.
2. There has been a **leadership change** in the RBI, with **Sanjay Malhotra** replacing **Shaktikanta Das** as Governor and **Deputy Governor Michael Patra's retirement**, leaving monetary policy under an interim charge.
3. The **rupee has been depreciating rapidly**, crossing **87** against the **U.S. dollar** on February 3, 2025, after being at **85 in December 2024** and **86 in January 2025**.
4. A key factor behind the rupee's decline is the **strengthening of the U.S. dollar**, driven by **Donald Trump's economic policies**, including higher tariffs and withdrawal from global tax agreements.
5. **Pressure for an interest rate cut** continues from both industry and government officials, especially after **GDP growth slowed to 5.4% in Q2 (July-September 2024)** and the **2024-25 growth forecast was lowered to 6.4%**.
6. **Growth concerns persist**, with no significant improvement in economic indicators in the December-ending quarter.
7. A debate between the **Finance Ministry and RBI** has emerged over economic sluggishness, with the government blaming **tight monetary policy** for weak **urban demand**.
8. The RBI, in its **January 2025 bulletin**, suggested that a revival in growth requires **higher disposable incomes** to boost consumption and private investments.
9. The **Union Budget 2025 addressed this concern** by **cutting income taxes**, shifting the focus back to the RBI's monetary policy decisions.
10. Inflation has remained above **5% for the last five months**, though it may have **eased closer to the 4% target** in January.
11. The RBI faces a **difficult choice**—a rate cut could **boost growth** but also **further weaken the rupee**, increasing **imported inflation**.
12. The **rupee's decline** complicates monetary policy as a weaker currency could lead to **higher costs for imports**, including fuel and essential goods.
13. Given the **uncertainties**, the new RBI Governor might consider **taking inspiration from Shaktikanta Das**, who had surprised markets with a **rate cut in his first review in 2019**.
14. The decision will be closely watched as it will **set the tone for economic policy** under the new RBI leadership.
15. The **RBI faces a tough balancing act** between **supporting growth, controlling inflation, and managing the rupee's stability** in an evolving global economic scenario.

Practice Exercise: Banking Pattern Based



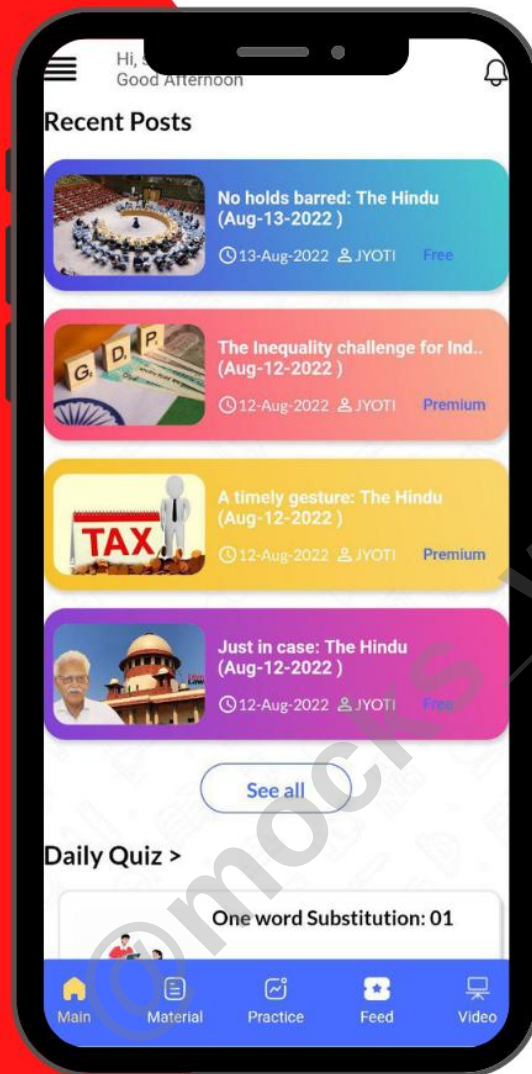
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